



Cambridge International AS & A Level

ECONOMICS

Paper 1 Multiple Choice

9708/12

February/March 2022

1 hour

You must answer on the multiple choice answer sheet.

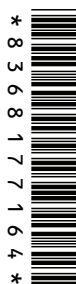
You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



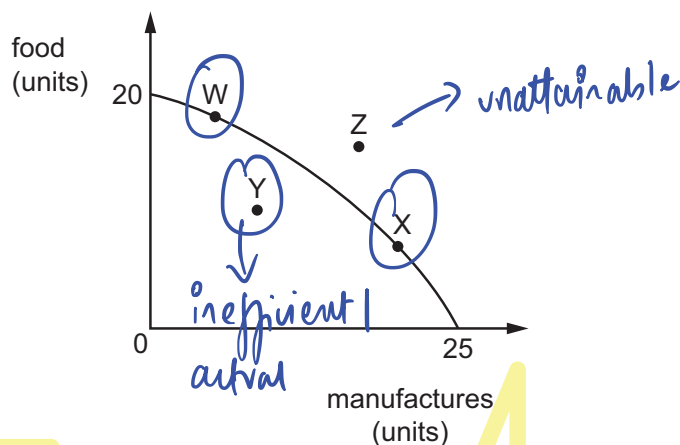
Solved by:-
Zarale mistry

This document has 12 pages.

2

- 1 A production possibility curve shows the combinations of outputs an economy can produce using all available resources.

At which points on the diagram are all available resources used? → on the PPC



- ✓ A W and X only
 B W, X and Z only
 C W, X, Y and Z
 D Z and Y only
- opinion
- 2 What is a normative economic action based on?
- ✓ A fact (positive)
 B market forces (Price mechanism)
 C opinion
 D price changes (Demand and Supply)

- 3 Which function of money overcomes the double coincidence of wants problem that exists in a barter system?

- ✓ A medium of exchange
 B standard of deferred payment
 C store of value
 D unit of account

The occurrence when the wants of buyers and sellers both get fulfilled simultaneously in the process of exchange of mutually possessed goods is known as double coincidence of wants. Both parties, the seller and buyers have to agree to sell and buy each others commodities.

A medium of exchange is a portable instrument that is used as an intermediary to facilitate the sale and purchase of goods between parties. In modern economies, the medium of exchange is currency. A currency must remain reasonably stable in value in order for it to work as an intermediary.

Money as medium of exchange solves the barter's problem of lack of double coincidence of wants as money has separated the acts of sale and purchase. You can sell goods for money to whosoever wants it and with this money you can buy goods from whosoever wants to sell them.

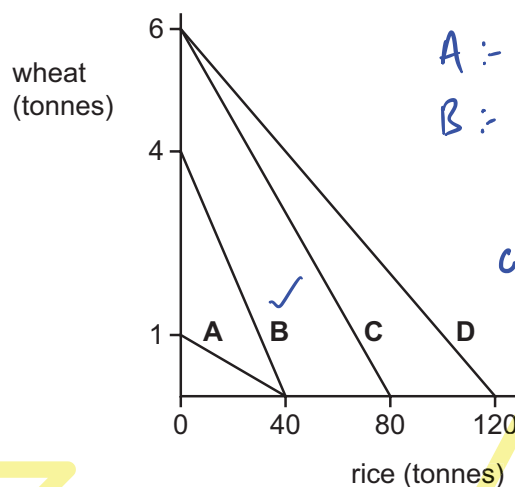
→ Double coincidence of wants

How medium of exchange solved double coincidence of wants

3

- 4 The production possibility curves (PPCs) show the abilities of four economies to produce wheat and rice.

Which PPC has the lowest opportunity cost for producing wheat?

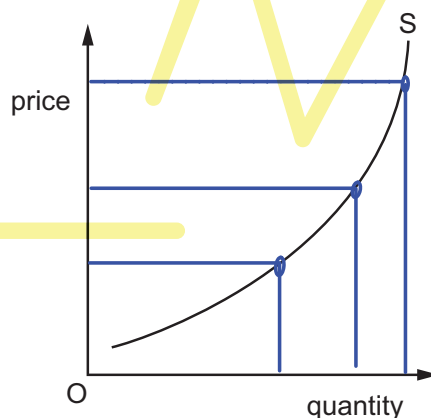


A :- 1W : 40R
B :- 4W : 40R
1W : 10R (lowest)

C :- 6W : 80R
1W : 13.3R

D :- 6W : 120R
1W : 20R

- 5 The diagram shows a supply curve for chicken.



What explains why the supply curve for chicken slopes upwards?

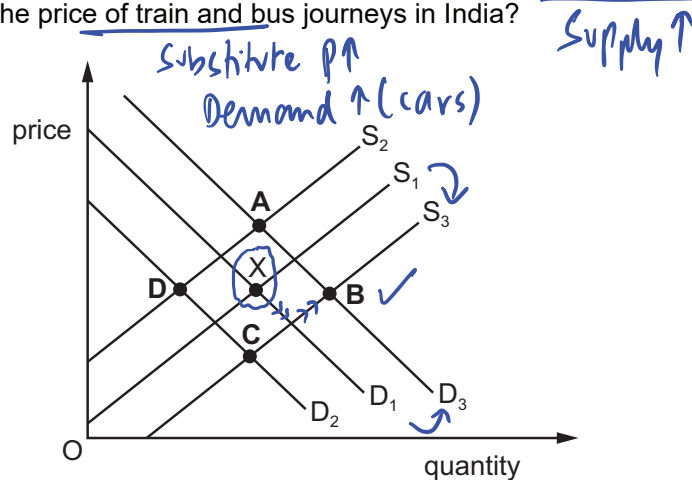
- A An increase in the demand for chicken will bring about a rise in supply. *no shift shown*
B Farmers' productivity rises as the price rises. *If productivity ↑, output would have increased by greater proportion*
C Increased production leads to a reduction in costs.
D The cost of additional chicken production rises as output increases.

If this is true then price would have not increased at faster rate than output.

That's why prices are rising at a greater proportion than output

- 6 The diagram shows the demand and supply curves for cars in India. The initial equilibrium is at X.

What will be the new equilibrium if there is a subsidy given to Indian car manufacturers and there is also an increase in the price of train and bus journeys in India?



Keeping all other factors constant or taking one into isolation (price)

- 7 Demand curves are drawn ceteris paribus.

Which 'other things' are not required to remain the same when an individual's demand curve for ice cream is constructed?

A the consumer's income

B the consumer's tastes and preferences

C the price of fresh fruit

✓ D the price of ice cream (Price factor), movement

other factors (Shift)

- 8 What is the measure of cross-elasticity of demand for good X in terms of good Y?

✗ A the change in the demand for X divided by the change in the price of Y

✗ B the change in the price of X divided by the change in the demand for Y

✓ C the percentage change in the demand for X divided by the percentage change in the price of Y

✗ D the percentage change in the demand for Y divided by the percentage change in the price of X

Qdx Price Y

} needs to be % change

no

- 9 When will the price mechanism be least likely to reallocate resources to meet a change in consumer preferences?

A when the government removes all price controls

✓ B when the new preferences are for more public goods

C when the supply of factors of production is limited

D when there is a redistribution of income

Max/Min remove, Price mechanism operational (free rider problem) (Price mechanism doesn't work here)

Prices will change → Use of taxation, change in price

5

Elastic

- 10 A firm estimates that the price elasticity of supply of its product is +1.5.

What does this indicate?

- ✓ A The firm has available stock. *can respond easily*
- B The firm has no excess capacity. *can't respond*
- C The firm operates in a competitive market. *Elastic demand*
- D The firm raises its price by 10% and its total revenue increases by 15%. *no information relating to output. $P \uparrow QD \uparrow$ (Goes against law of demand)*
- 11 A rise in the price of a good is accompanied by an increase in the quantity demanded.
- What could explain this?
- A Consumers spend a high proportion of disposable income on the good. *Elastic demand*
- B The price of a complementary good has also increased. *$P \uparrow QD \downarrow$*
- ✓ C The price of the good is taken to be an indication of the level of quality. *High Quality, so high price*
- D The substitute goods are all very much more expensive. *$P \uparrow QD \downarrow$*
- 12 What causes the demand curve for an inferior good to shift to the right? *Relatively low quality goods $Y \downarrow D \uparrow$*

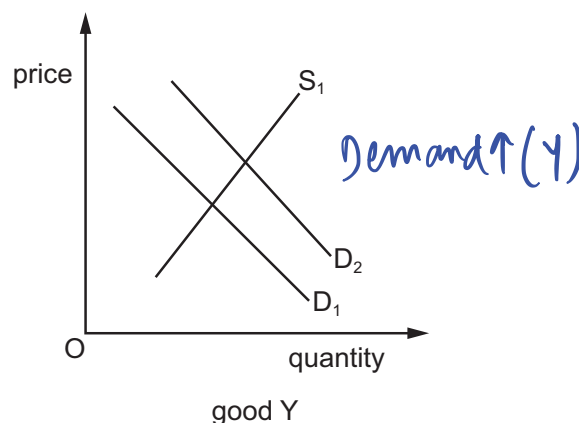
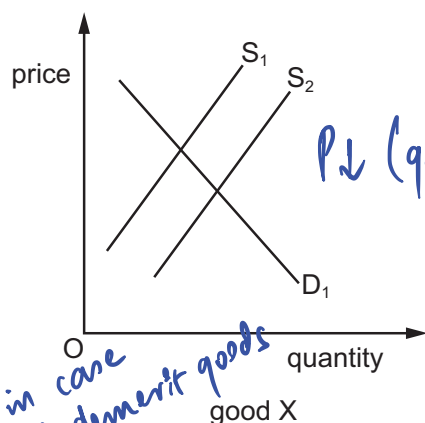
- ✓ A a decrease in consumer incomes *$Y \downarrow, D \uparrow$*
- B a decrease in income tax *Disposable income $\uparrow$, $D \downarrow$*
- C a decrease in the price of a substitute good
- D a decrease in the price of the good

Inferior good relationship is with income.

*$P \downarrow QD \uparrow$
movement (not shift)*

*Cheaper substitute
Demand $\downarrow$*

13 The diagrams show the effect of a change in the market for good X on the market for good Y.



What is the **most** likely relationship between the two goods?

A X and Y are complements.

B X and Y are demerit goods.

C X and Y are in joint supply.

D X and Y are substitutes.

14 To improve its financial position, a government decided to reduce expenditure on investment in the public sector. There was not a fall in economic growth.

What was the **most** likely effect of the government's action?

A An original budget deficit was reduced.

B An original budget surplus was reduced.

C Consumer expenditure decreased.

D Public sector productivity decreased.

15 What are the effects of a government imposing a maximum price below the equilibrium price?

	demand	supply
A	falls	falls ✓
B	falls	rises
C	rises ✓	falls ✓
D	rises ✓	rises

effective
prices ↓
↓ ↓
Qd ↑ Qs ↓

- 16 The National Library Board of Singapore is a public sector organisation that finances and manages the state libraries.

What is the most likely reason for this?

- A Libraries are public goods. (no)
- ☒ B Libraries are merit goods. (creates external benefit)
- C The cost of providing library services would be greater in the private sector. no information provided
- D The opportunity cost to the public sector of providing library services is zero. no

- 17 Three types of tax are listed.

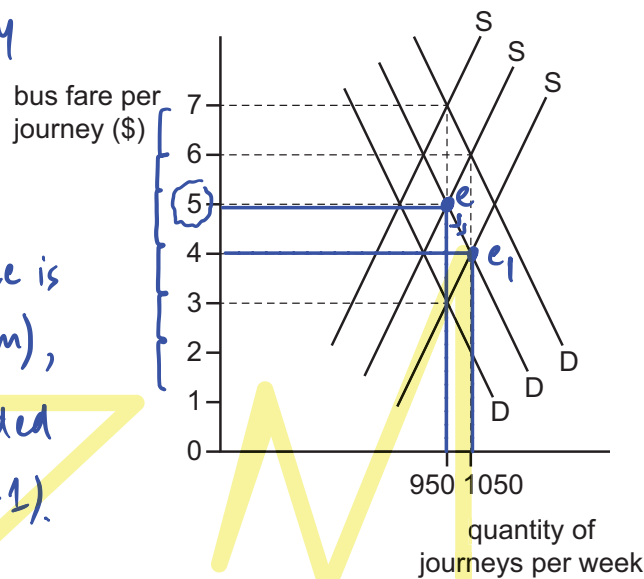
- a sales tax (VAT) on fuel Regressive
- a specific tax of 10% on cigarettes Regressive
- the percentage of income tax on individual earnings increases as taxable income increases Progressive

Which combination describes the effect of each of these types of tax?

	VAT	specific tax	income tax
A	progressive	progressive	regressive
B	progressive	regressive ✓	progressive ✓
C	regressive ✓	progressive	regressive
☒ D	regressive ✓	regressive ✓	progressive ✓

- 18 The bus fare in a rural area is \$5 per journey. The government decides to improve local transport by giving bus firms a subsidy of \$2 per journey. The diagram shows the possible changes in demand and supply.

Remember that subsidy provided by the government is divided in C.B and P.B.
 Since the change in price is 1 (shown in the diagram), \$2 subsidy will be divided in C.B(\$1) and P.B(\$1).

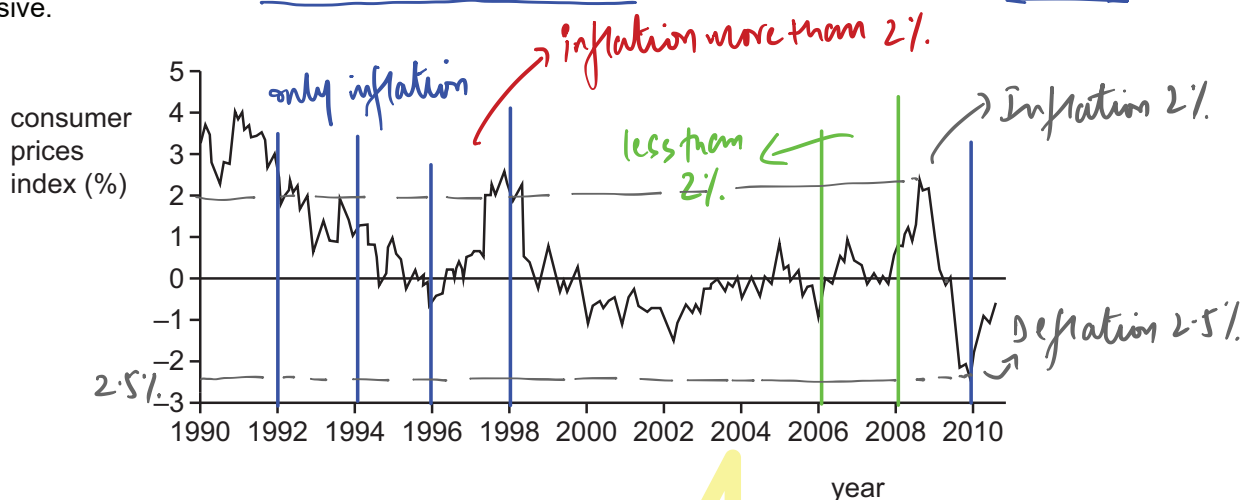


So, subsidy at \$5, will reduce the price by \$1, to \$4.

What is the new quantity of journeys and the bus fare for a journey?

	quantity of journeys	bus fare (\$)
A	950	3
B	950	7
C	1050 ✓	4 ✓
D	1050 ✓	6

- 19 The diagram shows the annual consumer prices index for Japan over the years 1990–2010 inclusive.



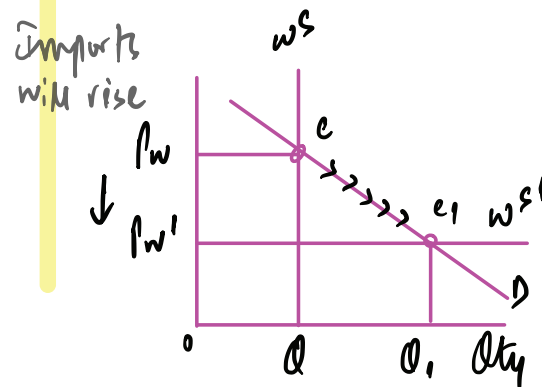
In which period did Japan experience both inflation at a rate of approximately 2% and deflation at a rate of approximately 2.5%?

- A 1992–1994 B 1996–1998 C 2006–2008 D 2008–2010

- 20 A government removes its quota on imported laptops.

Assuming a normal demand curve and upward-sloping supply curve for laptops, what are the likely effects on domestic laptop manufacturers?

	change in price received by domestic manufacturers	change in income received by domestic manufacturers
<u>A</u>	decrease ✓	decrease ✓
B	increase	increase
C	decrease ✓	uncertain
D	increase	uncertain



- 21 The terms of trade index for Mauritius fell from 111.2 in the first quarter of 2018 to 106.1 in the second quarter.

Which combination could have produced this outcome?

	export prices	import prices
<u>A</u>	rose	fell
B	rose	rose
C	rose	unchanged
D	unchanged	fell

$$\frac{X_{\text{prices}}}{M_{\text{prices}}} \times 100$$

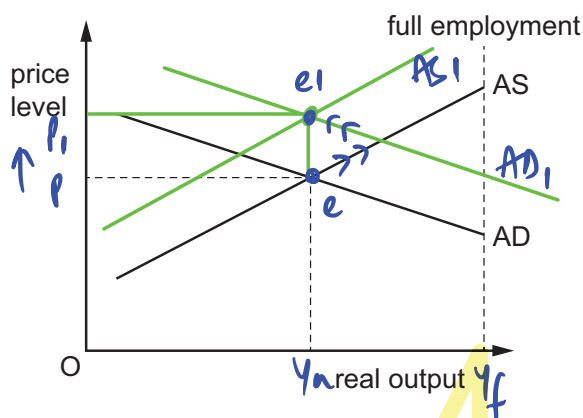
$$\frac{X_{\text{prices}} \uparrow}{M_{\text{prices}} \downarrow} \times 100 = \text{TOT} \uparrow$$

$$\frac{X_{\text{prices}} \uparrow}{M_{\text{prices}} \uparrow} \times 100 = \text{TOT} \downarrow$$

$$\frac{X_{\text{prices}}}{M_{\text{prices}} \downarrow} \times 100 = \text{TOT} \uparrow$$

10

- 22 From the initial position of equilibrium shown, there is an increase in government expenditure on goods and services and simultaneously an increase in the costs of production of goods and services.



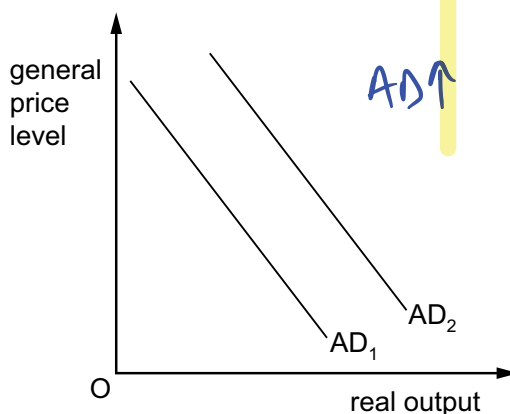
$AD \uparrow$ (real output $\uparrow$)
 $AS \downarrow$ (real output $\downarrow$)

Uncertain

What best describes the likely impact on the economy?

	equilibrium level of national income	equilibrium level of prices
A	falls	uncertain
B	no change	no change
C	rises	rises ✓
D	uncertain ✓	rises ✓

- 23 The diagram shows a shift in an economy's aggregate demand curve from AD_1 to AD_2 .



What could **not** be a cause of the shift?

- A a decrease in income tax $\rightarrow$ Disposable income $\uparrow$, $C \uparrow$, $AD \uparrow$
 B a decrease in the price of goods $\rightarrow$ Movement
 C an increase in money wage rates $\rightarrow$ $C \uparrow$, $AD \uparrow$
 D an increase in the money supply $\rightarrow$ $M \uparrow$, $C \uparrow$, $I \uparrow$, $NX \uparrow$, $AD \uparrow$

24 Which item is not included in the current account on the balance of payments statement?

☒ A the balancing item

☐ B the export of services

☐ C the import of goods

☐ D the interest received from investment overseas

} Trade in goods and services

Primary income (net income)

The balancing item, which may be positive or negative, is simply an amount that accounts for any statistical errors and assures that the current and capital accounts sum to zero.

25 The prices of a country's exports rise by 5% while the prices of its imports fall by 5%.

What will definitely improve in the country as a result of these changes?

☐ A balance of trade *depends on PED*

☐ B current account balance *(4 components)*

☐ C exchange rate *(changes in ER affects prices)*

☒ D terms of trade $\frac{X \text{ prices} \uparrow}{M \text{ prices} \downarrow} \times 100 = \text{TOT} \uparrow$

26 What is not a form of protectionism?

☐ A embargoes *Ban*

☒ B increase in sales tax (VAT) *Domestic goods*

☐ C subsidies on goods for export *X prices ↓ (substitution of import)*

☐ D voluntary export restraints: A VER is a measure by which the government or an industry in the importing country arranges with the government or the competing industry in the exporting country for a restriction on the volume of the latter's exports of one or more products.

27 Two countries, X and Y, produce food and drink. The table shows how many hours it takes them to produce one unit of each.

	(Y) food	(X) drink
X	10 0.1	2 0.5
Y	20 0.05	12 0.08

1 unit of food : 10 hrs
0.1 F : 1 hr [X]

[X] 1 unit of drink : 2 hrs
0.5 D : 1 hr

What will be the result if country Y doubles its productivity in the output of drink and both countries produce only one good according to comparative advantage?

☒ A X will continue to produce drink.

☐ B Y will produce drink instead of food. *No*

☐ C World drink production will rise. *fall*

☐ D World food production will fall. *same*

lower opportunity cost in Food

[Y] 1 F : 20 hrs
0.05 : 1 hr

[Y] 1 D : 12 hrs
0.08 D : 1 hr

[X] F : D
1 : 5

[Y] 1 : 1.6

D : F

[X] 1 : 0.2

[Y] 1 : 0.625

lower opportunity cost in Drink

Table 5.1: The Schematic BOP

A. Current Account

1. Merchandise Trade

- a) Visible exports
- b) Visible imports

2. Invisible Trade

- a) Invisible exports
- b) Invisible imports

3. Other Flows

- a) Investment income
- b) Unrequited transfers

B. Capital Account

- a) Long term capital transactions
- b) Short term capital transactions

C. Balancing Item

Net Errors and Omissions

D. Official Reserve Account

Depreciation / Devaluation

- 28 'Reducing the exchange rate helps to decrease a country's balance of payments deficit because it makes imports more expensive and exports cheaper.'

What does this statement describe?

- A a deflationary policy | *contractionary / Dampening / reducing*
 B a policy of direct controls (*min wage / Price controls*)
 C an expenditure-reducing policy *Same as option 'A'*

Targets to switch the expenditure of domestic residents from imported to domestic goods.
 D an expenditure-switching policy *m prices ↑, m Qty ↓, m (TE) ↓, Switch, Domestic goods ↑*

- 29 An increase in which variable is a contractionary monetary policy?

- A the budget deficit *G ↑ (Expansionary fiscal)*
 B the budget surplus *G ↓ (contractionary fiscal)*
 C the interest rate *R ↑, C ↓, I ↓, AD ↓ (contractionary)*
 D the money supply *(MS ↑ → expansionary monetary)*

(MS ↓, R ↑)

*R ↓, L ↓
Expansionary*

- 30 What are government monetary policies that would be the most effective in a global recession?

- A allowing the rate of interest to fluctuate and increasing business taxation (*not monetary*)
 B increasing the budget surplus and raising tariffs on imports
 C keeping the rate of interest very low and increasing the money supply
 D raising the rate of interest and restricting the money supply

Element of fiscal

contractionary

*R ↓
C ↑ I ↑ NX ↑
AD ↑
multiplier
RNI ↑*

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